

Introduction to Economics

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The Authors of Textbook

Textbook: Essentials of Economics

Worth Publishers (either 2nd or 3rd edition is o.k.)

The Authors:

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- Economics?
- a social science concerned with the production, distribution, and consumption of goods and services. It studies how individuals, businesses, governments, and nations make choices about how to allocate resources.
- Economics focuses on the actions of human beings, based on assumptions that humans act with rational behaviour.

Economics

- continued

Scientific study on Economy

Questions on:

Jobs: Who creates jobs? What kinds of jobs, How many jobs are creating?

Production: What to produce?, How much?, How to produce?

Distribution: Who gets, how much?

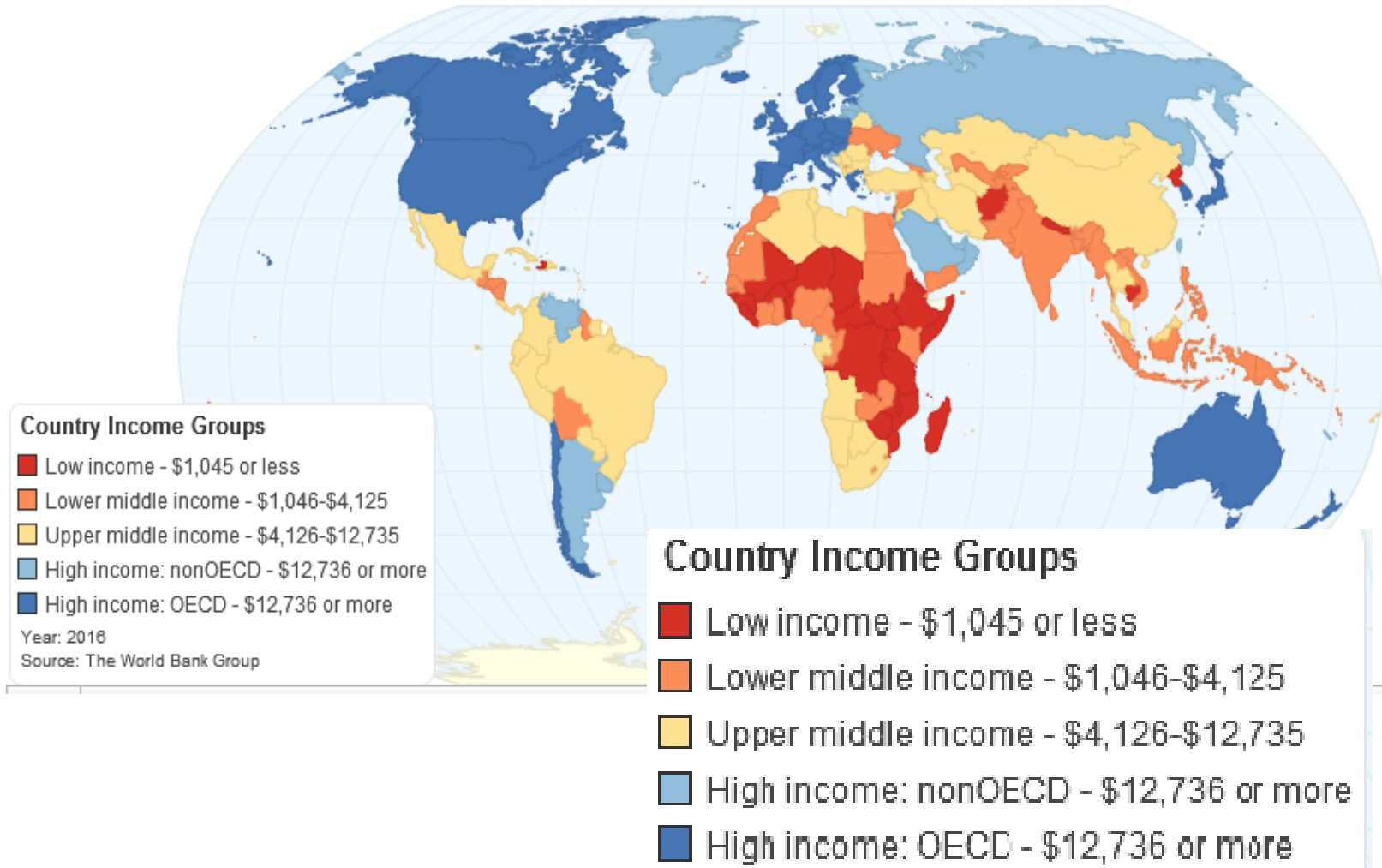
Consumption: Consume what? How much?

Why are some countries richer and other countries are poor?

All these questions are based on a set of **common principles**.

Country Income Group (World Bank, 2016)

Country Income Groups (World Bank Classification)



Economics

Economics belongs to the Social Sciences

Sciences

Social Sciences: Human Society

Natural Sciences: Materials

Formal Sciences: Logic, Mathematics

Applied Sciences: Engineering, Medicine

Economics

- continued

The most basic assumption in economics is that individuals are **making choices**.

In modern society, my decision is shaped by decisions by other people, our choices interact.

Interactions as a whole, economy-wide interactions

Twelve Economic Principles

Four principles on individual choices

Five principles on interaction

Three principles on economy-wide interactions

Branches of Economics

Microeconomics: studies the behavior of individuals and firms in making decisions

Macroeconomics: dealing with the performance, structure, behavior, and decision-making of an economy as a whole

Development economics

Econometrics

Economic history

Environmental economics

Energy economics

International economics

Labor economics

Law and economics

Mathematical economics

Monetary economics

Public finance

Regional science

Resource economics

Welfare economics

Before we get into the 12 principles

Market economy vs. command economy

Microeconomics vs. macroeconomics

The Wealth of Nations by Adam Smith

Adam Smith's invisible hand

Market failure

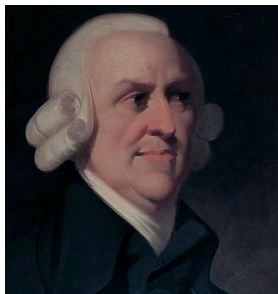
Business (economy) fluctuation

Recession, depression

Economic growth

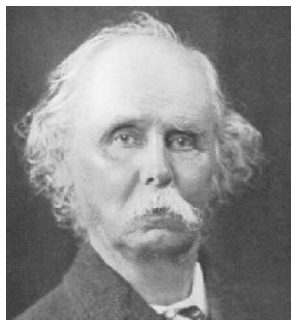
Alfred Marshall

Adam Smith and Alfred Marshall



Adam Smith (1723 – 1790) published *An Inquiry into the Nature and Causes of the Wealth of Nations* in 1776. Smith laid the foundations of classical free market economic theory.

“It is not from the benevolence of the butcher, the brewer, or the baker, that we expect our dinner, but from their regard to their own interest. We address ourselves, not to their humanity but to their self-love, and never talk to them of our own necessities but of their advantages.”



Alfred Marshall (1842 – 1924) published *Principles of Economics* (1890)
“Nature never reaps” ,
“Cold head with warm heart”

Twelve Economic Principles

Four principles on individual choices

Principles that Underlie the Economics of Individual Choice

1. Resources are scarce.
2. The real cost of something is what you must give up to get it.
3. "How much?" (or "How many") is a decision at the margin.
4. People usually exploit opportunities to make themselves better off.

An example of marginal decision

Marginal Decision: A bit more or a bit less from the situation you are now

Situation: Should I hire one more worker?

Marginal cost: The cost when I hire one more worker = w (wage)

Marginal benefit: The benefit I can get when I hire one more.
= increased product * price

This increased product by this worker = MP_L

I can sell this much at the market price (p) per unit.

* MP_L is called as marginal product of labor.

So, if my marginal cost is less than my marginal benefit, i.e.

$w < p * MP_L$, then I should hire one more worker.

Five principles on interaction

Principles That Underlie the Interaction of Individual Choices

1. There are gains from trade.
2. Markets move toward equilibrium.
3. Resources should be used as efficiently as possible to achieve society's goals.
4. Markets usually lead to efficiency.
5. When markets don't achieve efficiency, government intervention can improve society's welfare.

- There Are Gains from Trade

In a market economy, individuals engage in trade: They provide goods and services to others and receive goods and services in return.

There are gains from trade: people can get more of what they want through trade than they could if they tried to be self-sufficient. This increase in output is due to specialization: each person specializes in the task that he or she is good at performing.

- Markets Move Toward Equilibrium

An economic situation is in equilibrium when no individual would be better off doing something different.



Witness equilibrium in action at the checkout lines in your neighborhood supermarket.

- Resources Should Be Used as Efficiently as Possible to Achieve Society's Goals

An economy is efficient if it takes all opportunities to make some people better off without making other people worse off.

Equity means that everyone gets his or her fair share. Since people can disagree about what's "fair," equity isn't as well-defined a concept as efficiency.

- Markets Usually Lead to Efficiency

The incentives built into a market economy already ensure that resources are usually put to good use, that opportunities to make people better off are not wasted.

Interaction: How Economies Work

- When Markets Don't Achieve Efficiency, Government Intervention Can Improve Society's Welfare
 - Individual actions have *side effects* that are not properly taken into account by the market.
 - One party prevents mutually beneficial trades from occurring in the attempt to capture a greater share of resources for itself.
 - Some goods, by their very nature, are unsuited for efficient management by markets.

Three principles on economy-wide interactions

1. One person's spending is another person's income.
2. Overall spending sometimes gets out of line with the economy's productive capacity.
3. Government policies can change overall spending
Government can change its spending policy, tax policy, and control of money

KEY TERMS

Individual choice

Resource

Scarce

Opportunity cost

Trade-off

Marginal decisions

Marginal analysis

Incentive

Interaction

Trade

Gains from trade

Specialization

Equilibrium

Efficient

Equity